upheavals in that country. While Seth was willing to live with this cost escalation, IOC, which had expected to complete the project at a cost of Rs 1,600 crore, refused to accept the higher estimate.

Though Seth reiterated the Tatas' commitment as 'firm and undiluted', he got no favourable response from the government. Faced with uncertainty, at a company board meeting on 3 September 1991, it was decided to terminate the MoU. Thereafter, Seth wrote a letter to Petroleum Secretary Ashok Chandra, stating that the group 'will be much happier not being a part of this effort and to withdraw'. Finally, on 29 November 1991, in a press release issued by Seth, Tata Chemicals confirmed the 'termination' of the MoU. The Karnal fiasco weighed heavily on the company and dented Seth's reputation.

The Haldia Project

While discussions were on with the Ministry of Petroleum and Natural Gas regarding the Karnal refinery, Seth shifted his sights to West Bengal. In January 1990, the Tatas bagged the Rs 3,000 crore Haldia Petrochemicals project, with a projected capacity to produce 300,000 tonnes of ethylene a year. It was to be implemented by Tata Tea and some other Tata companies. JRD was keen on the project and lauded Seth for his business acumen, declaring, 'I am confident he will be able to implement the project successfully.'

Within a year of securing the project, optimism turned to cautious hopefulness. In the early 1990s, there was a glut of petrochemical products in the market. In addition, there was a significant increase in the project cost. Though these factors threatened the viability of the project, the Tata Tea board, in its meeting on 8 June 1992, reaffirmed the group's commitment to the venture.

But some six months later, in December, the lending financial institutions led by IDBI raised a red flag on the viability of the project. The assessment of the institutions made Seth wary of continuing with the project. He wrote to Ratan and Soonawala stating that as 'appraised by the Financial Institutions, the project is, in fact, non-viable and non-bankable'.

He also communicated these views to T.C. Dutt, then chief secretary of West Bengal and chairman of the Haldia project, and requested him to apprise the chief minister, Jyoti Basu, about the assessment of the financial institutions. Seth was aware that it would upset Basu, for whom the project